

August 13, 2026 12:56 PM GMT

SMIC | Asia Pacific

Strong print for 2Q26; keep OW

AlphaSignals Earnings Reaction

Unchanged Impact to our thesis	↑ Modest upside Financial results versus consensus	↑ Modest revision higher Direction of next 12-month consensus EPS
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Source: Company data, Morgan Stanley Research

Key Takeaways

- We remain constructive on SMIC. Advanced node capacity may continue to ramp, supporting production of China’s domestic AI accelerators.
- We also expect the company to maintain high utilization, benefit from better pricing, and sustain structurally stronger margins as product mix improves further.

Key 2Q26 details:

- Revenue reached US\$3.01bn, up 20% Q/Q, with shipments +14% and blended ASP up ~6%.
- GM rose 5.2ppts Q/Q, to 25.3%, above our expectation, which we attribute to both pricing improvement and a more favorable product mix as advanced node contribution increased.
- Minority interest surged to US\$254mn, up 659% Q/Q, which we believe mainly reflects stronger earnings contribution from new fabs like SMIC South, etc.

3Q26 revenue looks softer, though GM remains strong: SMIC guided 2–4% Q/Q revenue growth and GM of 26–28% for 3Q26. We believe limited new capacity release and improved utilization rate could constrain shipment growth in 3Q. However, further blended ASP improvement should continue to support margin expansion.

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SMIC (0981.HK, 981 HK)

Greater China Technology Semiconductors | China

Stock Rating	Overweight			
Industry View	Attractive			
Price target	HK\$85.00			
Up/downside to price target (%)	26			
Shr price, close (Aug 13, 2026)	HK\$67.55			
52-Week Range	HK\$93.50-48.20			
Sh out, dil, curr (mn)	7,048			
Mkt cap, curr (mn)	US\$60,690			
EV, curr (mn)	US\$81,365			
Avg daily trading value (mn)	HK\$7,133.53			

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (US\$)**	0.086	0.207	0.301	0.361
Prior EPS (US\$)**	-	-	-	-
EPS (US\$)§	0.090	0.130	0.182	0.237
Revenue, net (US\$ mn)	9,327	11,938	14,406	15,681
EBITDA (US\$ mn)	4,330	5,864	7,502	8,370
ModelWare net inc (US \$ mn)	685	1,659	2,410	2,890
P/E	107.2	41.5	28.6	23.8
P/BV	3.4	3.0	2.7	2.4
RNOA (%)	2.6	4.2	5.3	5.7
ROE (%)	3.3	7.7	10.4	11.3
EV/EBITDA	21.7	14.3	11.6	10.2
Div yld (%)	0.0	0.0	0.0	0.0
FCF yld ratio (%)	(6.0)	(4.3)	(4.5)	1.8

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Leverage (EOP) (%)	33.1	41.4	47.5	36.1
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Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
** = Based on consensus methodology
§ = Consensus data is provided by Refinitiv Estimates
e = Morgan Stanley Research estimates

Valuation Methodology and Risks

SMIC (0981.HK)

Base-case, residual income model. Key assumptions: cost of equity 8.6% (beta 1.2, risk-free rate 2% and risk premium 5.5%), intermediate growth rate 16%, terminal growth rate 5%, and cash dividend payout ratio 85%.

Risks to Upside

- Global and Chinese semi demand strengthens.
- Pricing competition eases, helping margins.
- Technological breakthroughs come faster than expected, shortening transition period.
- Utilization rate, product mix and ASP are better than expected.

Risks to Downside

- Global and Chinese semi demand weakens.
- Pricing competition intensifies, eroding margins.
- Utilization rate, product mix and ASP trend are worse than expected.

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(as of July 31, 2026)

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	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1529	42%	442	47%	29%	750	43%
Equal-weight/Hold	1582	43%	396	42%	25%	773	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	560	15%	97	10%	17%	217	12%
Total	3,674		936			1741	

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SMIC (0981.HK) - As of 08/13/26 GMT in HKD
Industry : Greater China Technology Semiconductors



Stock Rating History: 8/1/21 : O/I; 8/10/21 : E/I; 10/12/21 : E/C; 10/4/22 : E/A; 2/22/23 : U/I; 7/7/23 : U/A; 7/21/24 : U/I; 4/9/25 : E/I; 7/14/25 : E/A; 10/21/25 : O/A

Price Target History: 7/12/21 : 25; 8/10/21 : 28; 11/13/21 : 25; 2/16/22 : 22.8; 3/28/22 : 18.8; 11/14/22 : 16.8; 12/14/22 : 15.8; 2/22/23 : 14; 9/11/23 : 16; 5/14/24 : 13.8; 8/9/24 : 14.7; 11/8/24 : 20.3; 2/12/25 : 38; 4/9/25 : 40; 10/21/25 : 80; 4/1/26 : 70; 5/19/26 : 85

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
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INDUSTRY COVERAGE: Greater China Technology Semiconductors

COMPANY (TICKER)	RATING (AS OF)	PRICE* (08/13/2026)
Charlie Chan		
ACM Research Inc (ACMR.O)	O (03/07/2023)	US\$81.26
Advanced Micro-Fabrication Equipment Inc (688012.SS)	O (11/06/2023)	Rmb370.42
Advanced Wireless Semiconductor Co (8086.TWO)	U (07/14/2025)	NT\$117.00
Alchip Technologies Ltd (3661.TW)	O (05/14/2021)	NT\$4,190.00
ASE Technology Holding Co. Ltd. (3711.TW)	O (09/15/2024)	NT\$626.00
Cambricon Technology Corporation (688256.SS)	O (04/27/2026)	Rmb1,105.50
Global Unichip Corp (3443.TW)	O (06/24/2026)	NT\$5,540.00
GlobalWafers Co Ltd (6488.TWO)	E (05/19/2026)	NT\$1,025.00
Gudeng Precision (3680.TWO)	O (11/25/2025)	NT\$472.00
Hua Hong Semiconductor Ltd (1347.HK)	E (03/12/2026)	HK\$147.20
Iluvatar CoreX Semiconductor Co., Ltd. (9903.HK)	O (04/27/2026)	HK\$418.00
King Yuan Electronics Co Ltd (2449.TW)	O (03/03/2023)	NT\$253.50
Maxscend Microelectronics Co Ltd (300782.SZ)	U (01/11/2021)	Rmb78.95
MediaTek (2454.TW)	O (11/28/2025)	NT\$4,225.00
MetaX Integrated Circuits (688802.SS)	E (04/27/2026)	Rmb747.00
Nanya Technology Corp. (2408.TW)	O (05/28/2026)	NT\$514.00
NAURA Technology Group Co Ltd (002371.SZ)	O (11/06/2023)	Rmb738.60
OmniVision Integrated Circuits Group Inc (603501.SS)	E (11/17/2025)	Rmb90.02
Phison Electronics Corp (8299.TWO)	E (02/25/2026)	NT\$2,280.00
SG Micro Corp. (300661.SZ)	E (11/03/2025)	Rmb118.70
Silergy Corp. (6415.TW)	U (05/19/2026)	NT\$465.00
SMIC (0981.HK)	O (10/21/2025)	HK\$67.55
TSMC (2330.TW)	O (02/07/2022)	NT\$2,435.00
UMC (2303.TW)	O (05/19/2026)	NT\$124.50
Vanguard International Semiconductor (5347.TWO)	E (01/14/2026)	NT\$163.00
WIN Semiconductors Corp (3105.TWO)	U (07/14/2025)	NT\$387.00

Daisy Dai, CFA		
ASMP T Ltd (0522.HK)	O (07/24/2025)	HK\$175.80
China Resources Microelectronics Limited (688396.SS)	U (03/02/2026)	Rmb59.91
Empyrean Technology Co Ltd (301269.SZ)	E (01/17/2025)	Rmb95.74
Hangzhou Silan Microelectronics Co. Ltd. (600460.SS)	U (08/25/2025)	Rmb32.28
Hygon Information Technology Co., Ltd. (688041.SS)	O (07/03/2026)	Rmb286.00
Innoscence (2577.HK)	E (10/13/2025)	HK\$45.54
JCET Group Co Ltd (600584.SS)	E (01/16/2026)	Rmb77.82
Shanghai Fudan Microelectronics (1385.HK)	O (03/07/2025)	HK\$26.68
SICC Co Ltd (688234.SS)	O (03/20/2026)	Rmb112.03
StarPower Semiconductor Ltd (603290.SS)	E (05/14/2026)	Rmb86.69
Unigroup Guoxin Microelectronics Co Ltd (002049.SZ)	U (01/10/2023)	Rmb66.14
Universal Scientific Ind. (Shanghai) (601231.SS)	O (11/05/2025)	Rmb27.22
Yangjie Technology (300373.SZ)	O (06/10/2022)	Rmb95.55
Daniel Yen, CFA		
AP Memory Technology Corp (6531.TW)	O (07/11/2025)	NT\$865.00
ASMedia Technology Inc (5269.TW)	U (10/03/2025)	NT\$1,430.00
Aspeed Technology (5274.TWO)	O (06/09/2025)	NT\$17,490.00
Egis Technology Inc (6462.TWO)	E (01/28/2026)	NT\$101.00
Elan Microelectronics Corp (2458.TW)	O (10/03/2025)	NT\$145.00
Espressif Systems (688018.SS)	O (05/15/2023)	Rmb112.00
GigaDevice Semiconductor Beijing Inc (603986.SS)	O (05/15/2025)	Rmb404.50
Macronix International Co Ltd (2337.TW)	O (09/18/2025)	NT\$136.50
Montage Technology Co Ltd (6809.HK)	O (03/18/2026)	HK\$286.80
Montage Technology Co Ltd (688008.SS)	O (03/18/2026)	Rmb210.22
Novatek (3034.TW)	U (02/04/2026)	NT\$538.00
Nuvoton Technology Corporation (4919.TW)	U (11/10/2025)	NT\$126.50
Parade Technologies Ltd (4966.TWO)	O (05/27/2026)	NT\$586.00
Powerchip Semiconductor Manufacturing Co (6770.TW)	O (10/27/2025)	NT\$74.90
Realtek Semiconductor (2379.TW)	E (01/30/2026)	NT\$758.00
Shenzhen Goodix Technology Co Ltd (603160.SS)	U (07/14/2025)	Rmb51.18
Winbond Electronics Corp (2344.TW)	O (05/28/2026)	NT\$177.00
WPG Holdings (3702.TW)	O (03/16/2026)	NT\$123.50
WT Microelectronics Co. Ltd. (3036.TW)	O (01/27/2026)	NT\$215.00
Duan Liu		
Dosilicon Co Ltd (688110.SS)	U (09/06/2024)	Rmb112.50
Shenzhen Longsys Electronics Co Ltd (301308.SZ)	E (02/25/2026)	Rmb397.00
Tiffany Yeh		
AllRing Tech Co. (6187.TWO)	O (09/23/2025)	NT\$1,270.00
FOCI Fiber Optic Communications Inc (3363.TWO)	O (01/15/2025)	NT\$600.00
Himax Technologies Inc (HIMX.O)	E (02/04/2026)	US\$15.09
Hon Precision (7769.TW)	O (04/17/2026)	NT\$6,770.00
MPI Corporation (6223.TWO)	O (04/17/2026)	NT\$6,495.00
Silicon Motion (SIMO.O)	O (05/06/2024)	US\$241.31
WinWay Technology Co Ltd (6515.TW)	O (04/17/2026)	NT\$6,745.00

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* Historical prices are not split adjusted.